2. **Competitive Attitude:** It is expected that both government and private should work with a complementary spirit towards the welfare of the society, but in reality they are competitive in their activities.

3. **Inefficiency:** Most of the public sector enterprises remain inefficient due to lethargic bureaucracy, red tapism and lack of motivation.

4. **Fear of Nationalization:** In a mixed economy, the fear of nationalization discourages the private entrepreneurs in their business operations and innovative initiatives.

5. **Widening Inequality:** Ownership of resources, laws of inheritance and profit motive of people widens the gap between rich and poor.

Ultimately the inequality of capitalism and inefficiency of socialism are found in mixed economies.

Comparison of Different Economic Systems

S.No.	Features	Capitalism	Socialism	Mixedism
1	Ownership of Means of Production	Private Ownership	Public Ownership	Private Ownership and Public Ownership
2	Economic Motive	Profit	Social Welfare	Social Welfare and Profit Motive
3	Solution of Central Problems	Free Market System	Central Planning System	Central Planning System and Free Market System
4	Government Role	Interanal Regulation only	Complete Involvement	Limited Role
5	Income Distribution	Unequal	Equal	Less unequal
6	Nature of Enterprise	Private Enterprise	Government Enterprise	Both Private and State Enterprises
7	Economic Freedom	Complete Freedom	Lack of Freedom	Limited Freedom
8	Major Problem	Inequality	Inefficiency	Inequality and Ineffiency

1.8 Concepts of Macro Economics

The important concepts used in macro economics are presented below:

1.8.1. Stock and Flow Variables

Variables used in economic analysis are classified as stock and flow. Both stock and flow variables may increase or decrease with time.

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